



■ ELECTRIC VEHICLES

Elon Musk

The Tesla affair

Elon Musk intends to make “significant” investments in India. He hasn’t shared any deadline but is looking for the “right time”. He raved about India’s potential for a sustainable energy future. He says our country has all three pillars for this:

1. India is an abundant source of solar and wind energy that will be used for sustainable energy generation.
2. Next, Tesla as well as the local infra-

structure should be able to store and deliver it via charging stations.

3. Finally, there must be electric vehicles that run on this sustainable energy. Musk also points out that this is a low-cost alternative to fossil fuels.

Post his meeting with PM Modi, Elon Musk said Tesla will be in India as soon as it’s humanly possible. He also laid out the prerequisites for a sustainable energy future for India. This isn’t the first time he had vaguely talked of bringing Tesla to India. Here’s a look at all his tweets around the topic to understand what’s the bottleneck.

On June 21, 2023, as part of his 3-day maiden state visit in New York, Modi met Musk and among a wide range of topics, one of the talking points was Musk’s investment plans in India. Musk has proposed significant investments in the country and is confident that Tesla’s entry into India won’t take long. In his past tweets, he has revealed why it hasn’t happened yet in the first place.

Indian government wants Tesla to set up its manufacturing base locally.

The company so far has Gigafactories set in Shanghai, Germany, and the US. If a Gigafactory in India becomes a reality, then that plant is likely to produce EV batteries and associated technologies.

This is a shift from Tesla’s earlier stance which was to import its cars and components to India. However, then too it would’ve had hurdles to overcome. What, you may ask?

The answer is Tariffs/Taxes/Custom Duty. For context, customs duty on EVs with a value of more than \$40,000 is now 70 per cent.

So, the tentative launch timeline of Tesla in India has changed time and again. Nonetheless, things seem promising since he has been determined to expand Tesla to India for years now and the government is also welcoming of the same (with some conditions).

Even Musk agrees that the government’s intentions are in the best interest of the country. Let’s see how things further unfold. We shall keep you posted on Tesla India news. **d**

